

Why do double bottoms form? To answer that question, consider the double bottom shown in [Figure 27.4](#). After reaching a multiyear low in June, price recovered some of its losses by rising, leaving behind an Adam bottom.

A retrace of the downward move is common, with a retest of the low typically following. A retest is just like it sounds: Price returns to the low set earlier, and it tests to see if the stock can find support at that price level. If it cannot, price continues moving lower. Otherwise, the low becomes the end of the decline and the stock begins to recover.

Such was the case depicted in the figure. It's clear from the volume pattern that many investors believed the low, shown as point B, was a retest of point A. Volume surged on two occasions in the vain hope that the decline had ended. Investors were wrong.

Price held at 21 for a week before continuing down. As price headed toward the level of the June low (the Adam bottom), volume surged again. This surge marked the end of the downward plunge. Price hesitated at that level for slightly less than 2 weeks before turning around and heading up.

A double bottom is nothing more than a retest of the low. Investors buy the stock in the hope that the decline has finally ended. Sometimes they are right and sometimes they are not, which leads us into the next section: failures.